



FUTURE OF UPI

WILL IT REPLACE CREDIT CARDS?

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India's digital payments revolution isn't just a story of technology. As the Unified Payments Interface (UPI) continues to redefine how Indians transact, a burning question remains – Is UPI poised to signal the end of credit cards? The answer is as multifaceted as India's vibrant fintech ecosystem.

At its inception, UPI was designed to simplify everyday transactions. Its ability to offer instant, cost-effective payments via smartphones has set a new standard in financial inclusion. "The Unified Payments Interface (UPI) has transformed India's digital payment landscape since 2016, growing exponentially, with transaction volumes expected to reach 264 billion by 2025. Its success is driven by smartphone penetration, seamless transactions, and cost-effectiveness," notes Arindam Ray, Vice President – Central Engagement at Maveric Systems. This transformation has been nothing short of revolutionary, but it also raises concerns about the future role of traditional credit cards.

Credit cards have long been valued for offering revolving credit, purchase protection, and robust reward programs. While UPI excels in simplicity and speed, credit cards still provide the financial flexibility that many consumers rely on for larger, high-value transactions and international purchases. Ray further elaborates, "However, credit cards remain relevant due to their credit availability, purchase protection, reward programs, and global acceptance." Even as UPI's seamless

operation reduces reliance on plastic for day-to-day transactions, credit cards maintain an edge in specific scenarios where credit and global utility are paramount.

Yet, the evolution of UPI shows no signs of slowing down. Fintech innovators are constantly integrating advanced features into the system, ensuring that its functionality is not only preserved but enhanced over time. Kaushik Mukherjee, CTO at super.money, envisions a future where UPI evolves into an even more integrated ecosystem. He explains, "India's UPI has been a game-changer in the country's digital payments landscape, revolutionizing the way people transact... The next phase of UPI's evolution will focus on enhancing ease of use and expanding interoperability across diverse financial ecosystems." His insights hint at a future where UPI could power everything from

biometric-based transactions to AI-driven financial tools.

Indeed, the integration of biometric authentication and AI into digital payment systems promises to make transactions even more secure and user-friendly. Mukherjee adds, "Technological innovations will play a crucial role in improving convenience and security. Biometric authentication, such as fingerprint and facial recognition, will enable frictionless transactions, making payments faster and more secure." With such advancements, it's evident that UPI isn't just a tool for simple payments – it's evolving into a comprehensive platform that can cater to the myriad needs of modern consumers.

Yet, amid these technological strides, another transformation is on the horizon – the fusion of lending and payment ecosystems. Rajashekara V. Maiya, VP and Global Head of Business Consulting at Infosys Finacle, succinctly captures this shift.

"UPI is game changing, the scale is unheard of elsewhere. With UPI linked with lending, it can provide lending at the point of sale, which is a different level of experience and reduces the lending gaps in India. With ULI (Unified Lending Interface) taking off, we can see another UPI moment in lending also," he says. The potential integration of lending directly into UPI platforms could blur the lines between traditional credit facilities and digital payments, offering consumers on-the-spot credit options seamlessly integrated into their everyday transactions.

In 2024 alone, UPI crossed 172 billion transactions, a staggering 46% jump cementing its place as the backbone of India's digital economy.

— KIRAN NAMBIAR
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